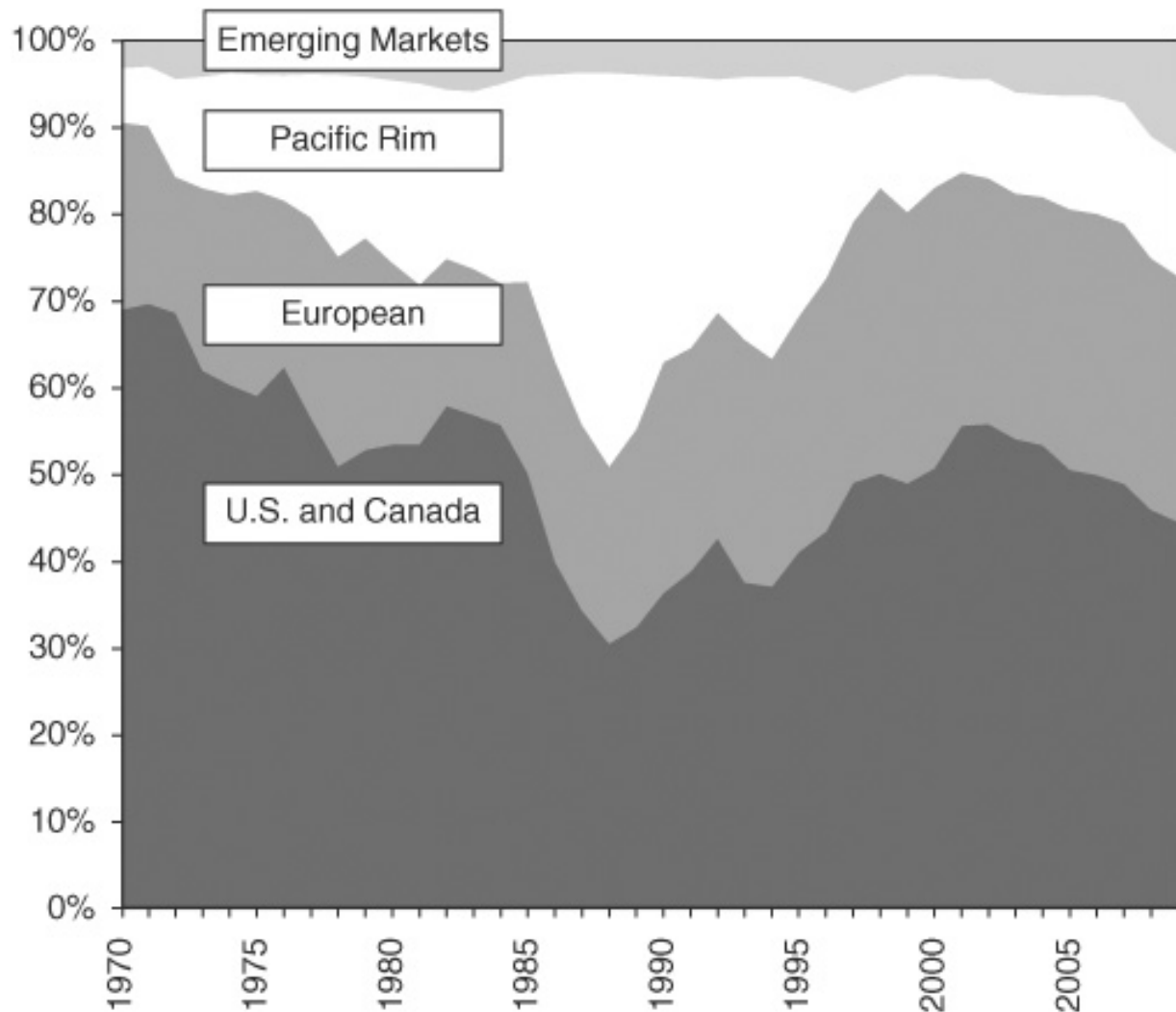


[Figure 7-2](#) illustrates the value of world market allocation over time based on the percentage of global market value in each region. The chart is divided among four regions: North America developed markets, the Pacific Rim developed markets, European developed markets, and a rapidly expanding emerging market sector that now holds over 12 percent of the world's equity capitalization, according to MSCI.

FIGURE 7-2

Global Equity Markets by Percent of Value



Countries that have fledgling stock markets that are not categorized as either developed markets or emerging markets generally fall under the category of frontier markets. The frontier markets make up less than 1